Weekly Ship Recycling Report

25 December 2022 - 1 January 2023

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Highlights of the Week

We'd like to start out by wishing our readers a "happy new year". Although no one can predict the future, it is helpful to start a new year with an understanding of the main concerns that will probably dominate the global agenda. 2023 won't be a monotonous year, a fact that is already evident.

In 2023, Asia will see challenging economic conditions. After several years of rapid export development, the region will experience a decline as the US economy is predicted to contract significantly and the EU will go into recession. The outlook for Asia's domestic demand is also uncertain as local economies adjust to the increased interest rate implemented in 2022 to combat inflation. The likelihood of North Korea restarting its nuclear tests and Taiwan's election preparations will add to the geopolitical risk.

Southeast Asia's increased political instability will give India the chance to attract more attention from international manufacturers. The Indian government has its own political concerns, but from the perspective of investors, it also administers consistent policy and reduces the possibility of a change in leadership.

In 2022, supply chain disruptions caused problems in both the EU and the US due to ongoing problems with the gas and energy supply chains, this may persist across European nations in the following year. However, the current Infrastructure Law is expected to increase infrastructure investments, which will likely cause the US economy to gain momentum, particularly in the automotive and infrastructure sectors.

Regarding the steel industry In 2023, it's anticipated that the US steel market will stay stable. Turkey and other Central and South American nations are all scaling back their construction projects as a result of inflation and interest rates, and in these locations, the steel industry is expected to experience a decline in 2023.

China is currently experiencing a wave of coronavirus infections, yet Beijing continues to move on with its plans to relax its regulations. In a significant move toward reopening its borders, it declared this week that international arrivals will no longer be subject to quarantine restrictions beginning in early January.

In October, the International Monetary Fund predicted that in 2023, the rate of global growth will drop to 2.7%. The group issued a warning in November that since issuing that forecast, the picture had grown even "gloomier." The actions of central banks going forward, the effects of China's impending reopening, and energy prices may determine if a worldwide recession occurs.

Exchange Rates:

USD / INR

This Week	: 82.72
Previous Week	: 82.45
Gained	: 0.27%

USD / BDT

This Week	: 106.34
Previous Week	: 103.27
Gained	: 3.07%

USD / PKR

This Week	: 226.57
Previous Week	: 224.87
Gained	: 1.7 %

USD / TL

This Week	: 18.69
Previous Week	: 18.67
Gained	: 0.02 %

India

Rescuer of the Ship Recycling Market

- India has emerged as the ship recycling market rescuer and the steel market's savior. Foreign exchange availability is consistent and shows no signals of impending problems. India is driving steel consumption, as China's construction sector is still struggling and the US and Europe are probably about to enter recessions.

- To compete with China as a manufacturing hub, India is attempting to modernize the roadways, rail networks, and ports. According to the World Steel Association, this will result in an increase in steel demand of 6.7 percent to over 120 million tons in 2023, the fastest growth rate among large nations.

- Of the three destinations for recycling in the Indian subcontinent, India is still the most reliable, with requests to buy recycling ships to fill their yards with diminishing availability of steel.

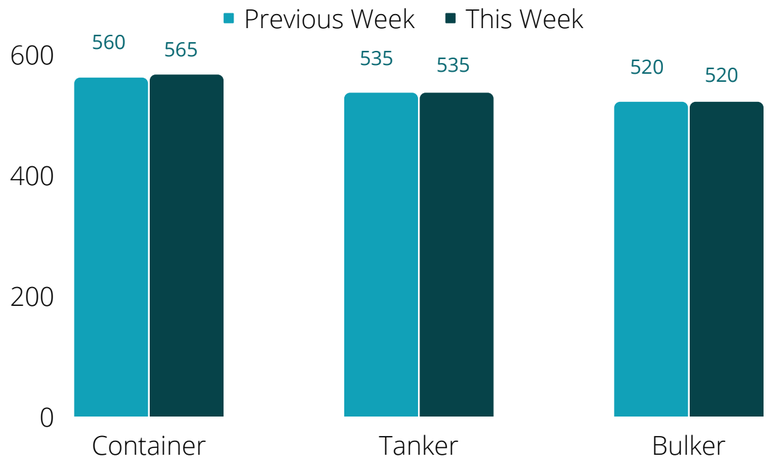
- The majority of the yards are currently empty, with numerous yards available for green recycling in the future as compared to Bangladesh and Pakistan.

Beaching Dates

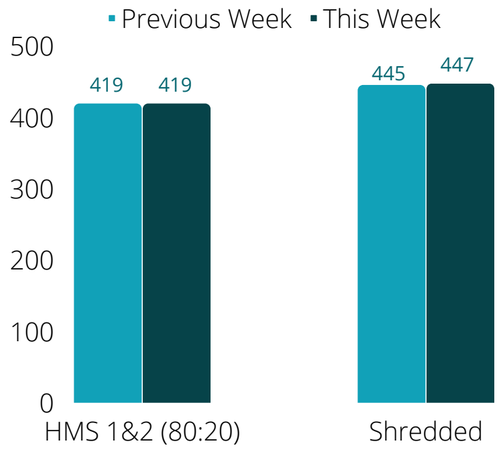
04 January to 11 January 2023

19 January to 27 January 2023

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Bangladesh

LC problem likely to be solved ?

- This week, it was reported that a few recyclers in Bangladesh were able to issue Letters of Credit, albeit for smaller sums. This might help the market bounce back during this year to give confidence to the cash buyers to start delivering their units to Bangladesh.

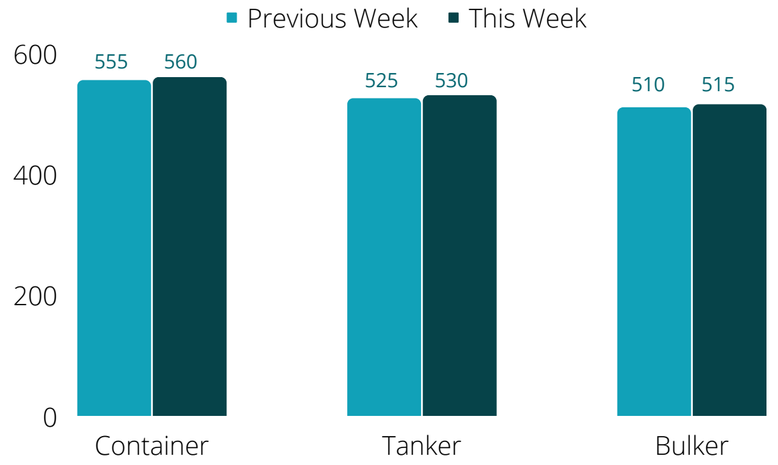
- The local market continues to be stable, with little upheaval. Local buyers will become more interested once the LC concerns are resolved, but sellers should proceed with caution if they intend to sell here.

Beaching Dates

07 January to 10 January 2023

22 January to 25 January 2023

Price for Recycling Ships in Bangladesh



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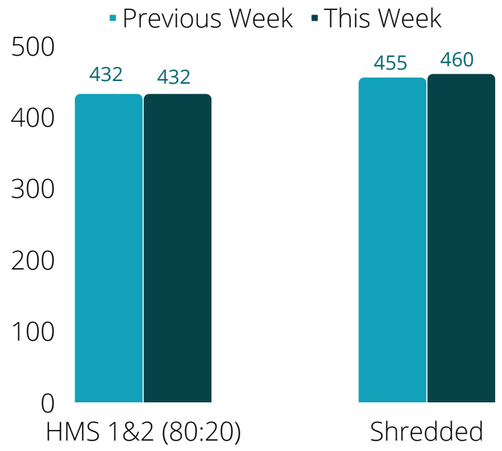


Pakistan

Diminished foreign reserves cast a shadow over the economy

- The State Bank of Pakistan (SBP) made the decision to loosen LC limitations by eliminating the requirement for banks to obtain prior approval before beginning import transactions. Considering the risk profile of each customer and the liquidity conditions prevalent in the foreign exchange market, banks may actively engage with each of their customers to process their requests. Only the cash-rich recyclers having a good standing with the banks will be able to open the letter of credit reducing the number of buyers for vessels.

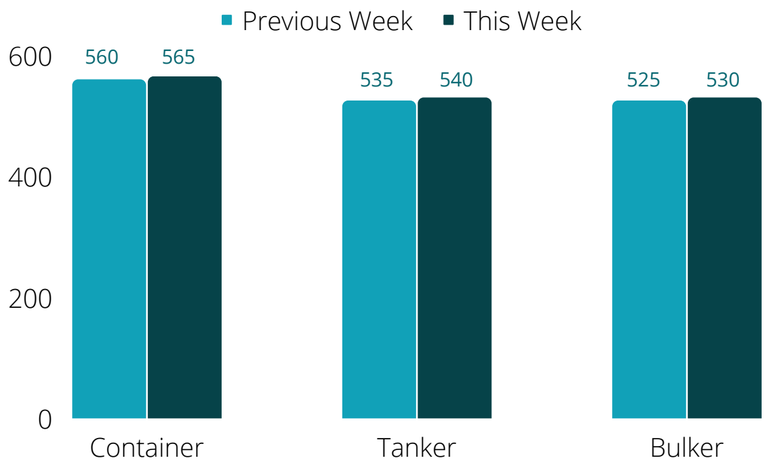
- The recyclers who purchased the vessels last week are facing a herculean task in opening and releasing the LC due to the foreign reserves being decreased to their eight-year low to just above $6 billion, marking their lowest level in eight years. This only leaves Pakistan with enough imports to last for 1.10 months as its struggling government tries to meet the nation's complicated external finance requirements.

- In the near future, LC opening issues will persist for a while, and this market may see limited buying until there is further easing from the government and the availability of foreign exchange.

Beaching Dates

Throughout the month

Price for Recycling Ships in Pakistan



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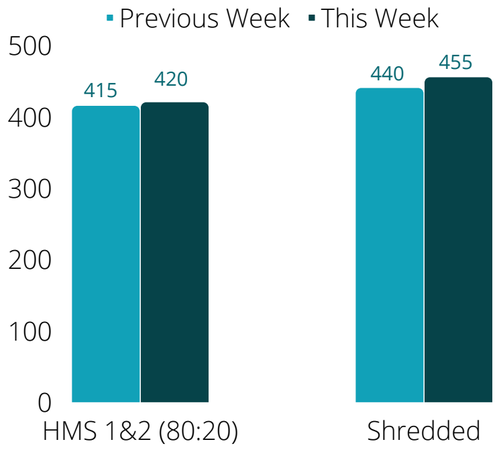


Türkiye

Spiralling inflation and tumbling Lira cumulating the hardships

- After rising for 17 months, inflation reached a 24-year high in October, primarily as a result of President Tayyip Erdogan's unconventional low interest-rate monetary policy and the resulting currency crisis in 2016. Inflation decreased marginally in November, and it is anticipated that the decline will increase in December and in the first quarter of the year 2023 when the price hikes compared to the same period of last year provide relief for this year's annual inflation calculation.

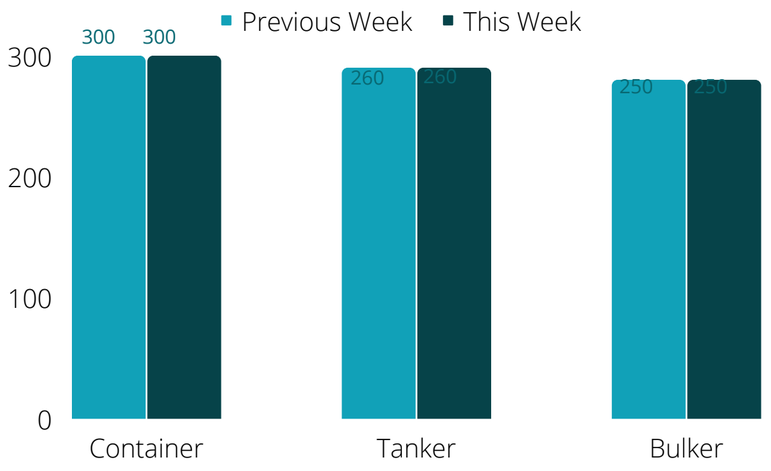
- Turkish businesses have been severely impacted by the depreciation of the Lira, which has increased manufacturing costs while depleting people's incomes because they can now only purchase less with their money.

- Two ship recycling facilities in Turkey have been removed from the list of authorized recycling facilities by the European Union, leaving only six yards in Turkey on the list, as was anticipated during the October Tradewinds Recycling Conference.

Beaching Dates

Throughout the month

Price for Recycling Ships in Türkiye



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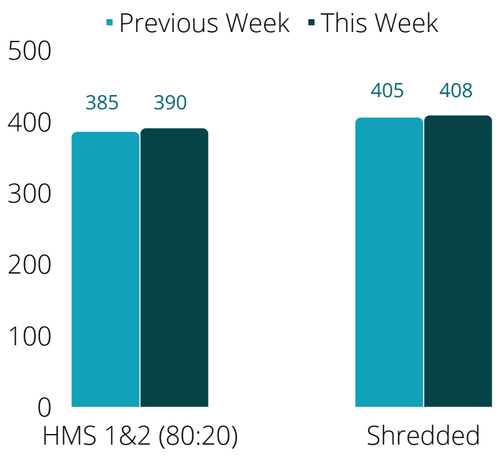
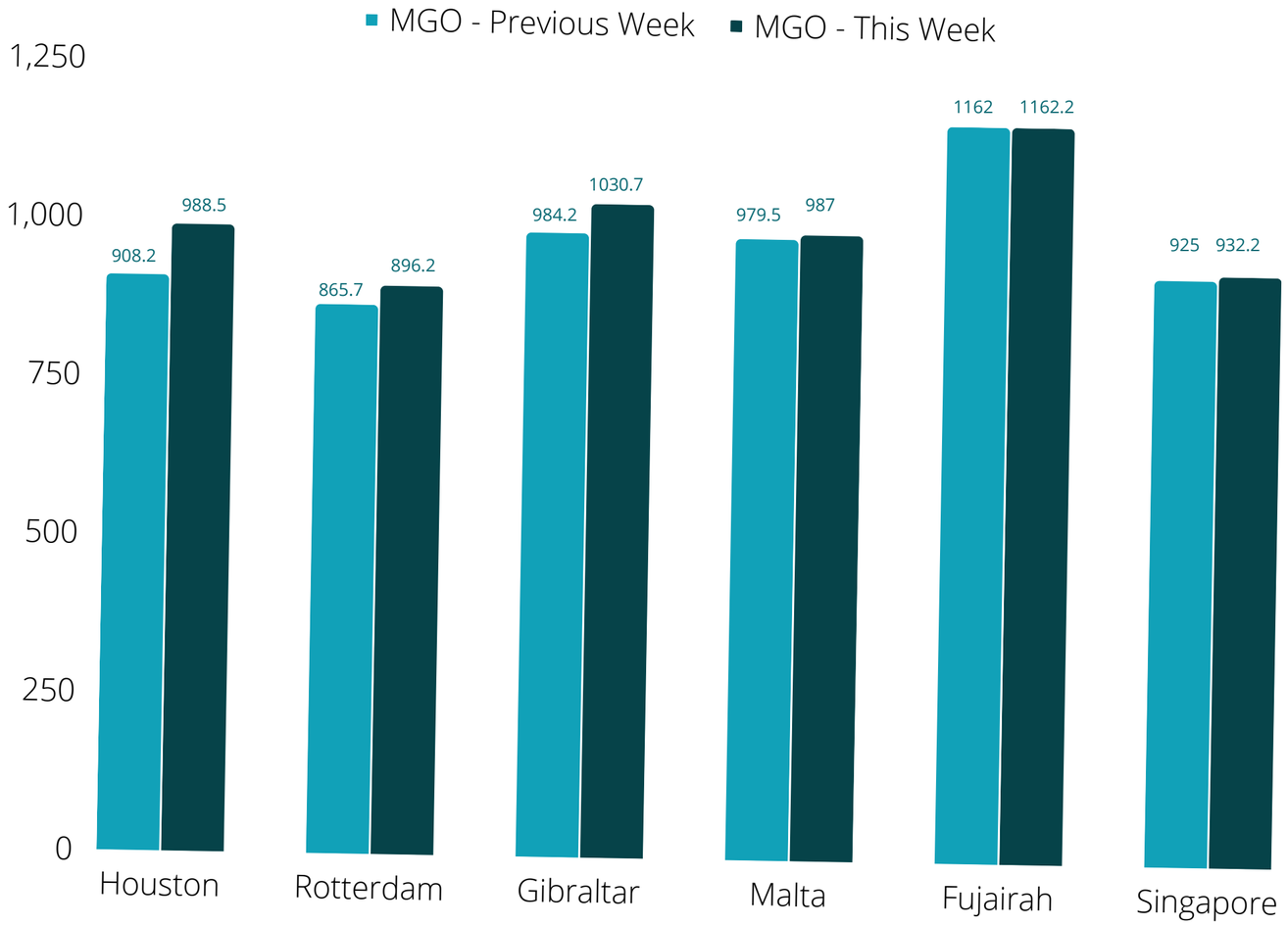


Bunker Prices at Port



Brent Crude

This Week	:	85.91
Previous Week	:	81.98
Movement	:	+3.93%

WTI Crude

This Week	:	80.26
Previous Week	:	79.56
Movement	:	+0.7 %

- In a year defined by high volatility as different supply risks competed with persistent demand uncertainties, WTI oil futures traded above $78 per barrel and are on course to increase by about 5%.
- The US oil benchmark hit a 14-year high of $130 a barrel in March as Russia attacked Ukraine, disrupting energy shipments that were already experiencing issues linked to COVID. Then, when major central banks rapidly raised interest rates to manage growing inflation, the price of oil gave back the majority of those gains, sparking concerns about a worldwide economic slowdown.
- The prognosis for demand in the biggest crude importer in the world was further hampered for the majority of the year by China's rigorous adherence to its zero-Covid policy.
- However, after widespread demonstrations a month earlier, the Asian country removed the majority of its restrictions in December, raising optimism for a rise in demand. Investors are also keeping an eye on Russia's future moves in the wake of its restriction on oil exports to nations that adhere to the G7 price agreement.

List of Vessels Sold this Week

Vessel Name	Type of Vessel	IMO No.	Year of Build	Country of Build	LDT	Term of Sale	Location of Delivery	Sale Price/LDT (USD)
LILA KYOTO	BULK CARRIER	9176113	1999	JAPAN	20,886	UNDISCLOSED	PAKISTAN	UNDISCLOSED
JOINT LUCK	TANKER	8700395	1987	JAPAN	2,071	UNDISCLOSED	BANGLADESH	UNDISCLOSED
SYLT	TANKER	8700137	1989	FINLAND	2,002	UNDISCLOSED	BANGLADESH	UNDISCLOSED

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